

the fund at issue but for the funds in the complex in the aggregate) and address their reasonableness.

Fund shareholders seem to ignore the issues presented in proxies, even when the fund provides reasonable disclosure. Shareholders of one investment company recently voted to approve a 31% fee increase to a manager who was already making a pretax profit equal to 85% of its gross revenues. Table 1 shows the figures, as published in the proxy. The fee paid to the manager rises by some \$1.6 million, to more than \$7 million. Since the manager's expenses remain at about \$800,000, the manager's profit, too, rises by \$1.6 million, a 40% increase. As a result, the profit margin on this particular fund rises from 85% to 88%, a level that is surely amazing.

Management Company Profit Margins

	<i>Before fee increase</i>	<i>After fee increase</i>
Management fees	\$5,369,000	\$7,055,000
Operating expenses	823,000	823,000
Operating profit	\$4,546,000	\$6,232,000
Profit margin	85%	88%

A second issue that demands that shareholders vote is the 12b-1 distribution plan. . . . Sadly, since more than half of all funds already have such plans, the remaining opportunities to vote to approve or disapprove new plans are likely to be few. And, given the increasingly controversial nature of 12b-1 plans, the likelihood of any funds having the temerity to propose to increase such distribution fees seems remote in the extreme. Suffice it to say that if the fund plans to spend any of the assets that you as a shareholder have entrusted to it simply to bring additional assets into the fund, the justification for the expenditure should be clearly articulated, both in understandable conceptual terms and in detailed financial terms. Otherwise, "just vote no."